saver eventually recognizes that high inflation erodes the value of his financial savings and switches to real assets like gold. Since we do not mine gold in the country, this also puts pressure on the current account.

In sum, the fragilities associated with high inflation accumulate, and eventually could lead to crisis. However, the belief that there is a strong powerful domestic constituency against inflation in India, which was drummed into our heads as students, may be a myth, certainly at moderately high levels of inflation. Without any political push back as inflation rises, what is to ensure macroeconomic stability?

Unlike more authoritarian Asian economies that used severe administrative measures to deal with bouts of high inflation during their growth phase, our democratic structure rightly does not permit such measures. So it is better that we tackle inflation upfront by building the necessary institutions. Perhaps this is why successive governments, in their wisdom, have given the RBI a measure of independence. Certainly, such concerns would support the current government's decision to enshrine its commitment to low inflation through a formal inflation target and the creation of a monetary policy committee.

Postscript: Now that the government has set up a monetary policy committee and given it an inflation target, it would be appropriate for current and future governments to let the appointed experts on the committee decide.